



ILLUSTRATION BY **RAJ VERMA**

analysis, economic indicators, and financial models to construct portfolios that align with specific investment objectives and risk tolerances. Beyond generating market-beating returns, it is this ability to cater to investors' specific needs that marks the uniqueness of the PMS industry in India's rapidly-growing financial markets. As the generation that entered the job market just as the Indian economy liberalised in 1991 heads towards retirement over the next

decade, PMS providers have become their allies in helping them plan and fund a prosperous retirement.

India now has over 148 million demat accounts. Whilst most of these accounts have been opened by active traders, it is natural that as these traders become more mature and understand the difference between speculation versus long-term investing, many of them will, over time, become clients of the PMS providers.

The formalisation of the Indian

economy is, in general, leading to a shift in saving habits. Specifically, Indian families are increasingly moving towards financial savings and away from their entrenched habits of saving through gold and real estate. The financialisation of savings and the growth of PMS assets is faster in Tier II and III towns, which were even more prone to saving through physical assets (gold and real estate).

Technological advancements have also revolutionised the PMS industry. The integration of digital platforms, analytics, and automated tools has not only streamlined operations but has also enhanced decision-making processes. Technology facilitates real-time market analysis, portfolio tracking, and personalised client interactions, thereby enriching the overall investment experience.

Illustrative case studies of PMS success stories, where strategic investments have yielded high returns, exemplify the industry's potential. These narratives highlight the expertise of PMS managers in identifying opportunities and navigating through market cycles to capitalise on profitable ventures.

Looking at the future, the PMS industry is poised for sustained growth, buoyed by ongoing economic formalisation, growing financial literacy, and the burgeoning wealth of Indian families, particularly in non-metro regions. The regulatory focus on transparency and investor protection will continue to play a critical role in enhancing the industry's appeal.

In conclusion, the PMS industry is not merely witnessing growth but is on the brink of a transformative era. With favourable economic trends, regulatory support, and an increasing inclination towards personalised financial solutions, the industry is set to redefine wealth management. **BT**

The author is Principal Officer, Association of Portfolio Managers in India (APMI). Views are personal